Simplex Holdings Inc

4373 JP Equity · Company Research · Charlie Trenorden · As of 9 Sep 2026

BUY

Target ¥1,400 · Current ¥1,103 · +27% · 12 months

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In Brief

The shares trade at the 59th percentile of their own cash-flow multiple, on a business the filings support as medium-moat. The multiple sits mid-range. Returns from here have to come from the operating record, not from a re-rating.

- Revenue has compounded at +19% a year over 3 reported years, without a single down year.
- The shares trade close to their own long-run multiple.
- On its own history the range over 3 years runs from +18% to +170%, with a base case of +50%. Every case gains, so the range shows no downside to weigh.
- The shares sit 4% below their all-time high.
- The strongest power is switching costs. Overall a medium moat.
- 7 of 7 analysts rate the shares a buy, on a target implying +31%.

How the Target Is Built

Consensus Target	**¥1,450**
This View vs Consensus	**-3%**

- 21x FY3/2028 earnings per share of ¥66.43
- ¥66.43 is consensus across the same 7 analysts who cover the name, and the FY3/2027 leg of that consensus sits slightly above the company's own guidance
- 21x against a business compounding revenue near 19% with a 21% return on equity, where the shares already trade at 19.6x the current year
- The return is earnings, not a re-rating - a flat multiple on next year's figures gets most of the way there
- Street target of ¥1,450 is 21.8x the same earnings

What has to hold

- Full-year operating profit of ¥17.2bn held, which needs AI usage fees to level off as management says rather than keep outrunning plan
- Gross margin holding near the 46.3% of the June quarter, not reverting toward FY3/2026's 43.7%
- Simplex converting its AI delivery framework into a measured productivity gain, where Nomura Research Institute has already published one and competes for the same financial-institution work

Key Statistics

Share Price	**¥1,103.00**
52-Week Range	**¥764.00 - 1,183.00**
Market Capitalisation	**¥246.91B**
Shares Outstanding	**223.9M**
Cash Less Long-Term Liabilities	**¥-4.84B**
Long-Term Liabilities / Operating Income	**1.3x**
Price / Free Cash Flow	**26.2x**
Drawdown From 52-Week High	**-6.8%**
Return vs Nikkei 225, Sep 2021-Aug 2026	**1.0x**

Financial Summary

Revenue has compounded at +19% a year over 3 reported years, without a single down year.

	FY23	FY24	FY25	FY26	FY27 (cons.)
Revenue growth		+16.5%	+16.4%	+23.8%	+19.9%
Revenue (m)	34,946	40,708	47,394	58,682	70,379
Gross profit (m)	14,597	17,450	19,638	25,623	
Operating income (m)	7,450	8,849	10,804	14,421	
Net income (m)	5,432	6,194	7,781	10,538	
Free cash flow (m)	3,255	7,341	8,764	10,295	
Gross margin	41.8%	42.9%	41.4%	43.7%	
Operating margin	21.3%	21.7%	22.8%	24.6%	
Free cash flow margin	9.3%	18.0%	18.5%	17.5%	
Return on capital employed	12.2%	17.4%	17.0%	20.6%	

The latest year grew +24%, close to the multi-year rate. Growth here is steady, not accelerating.

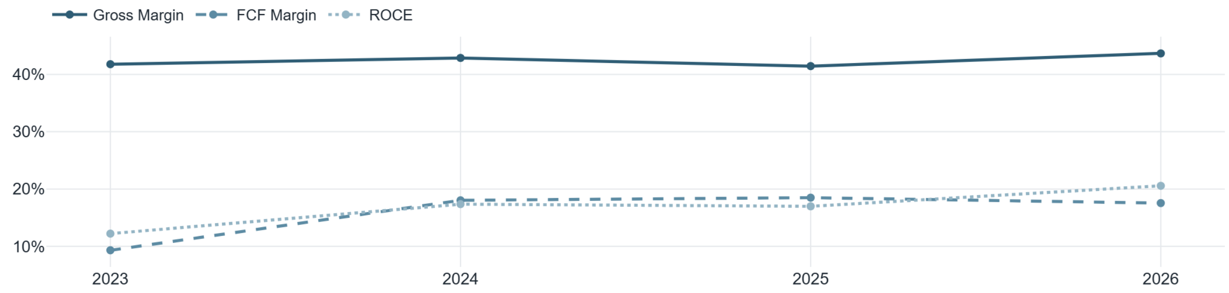

Figure 1: Margins and Return on Capital

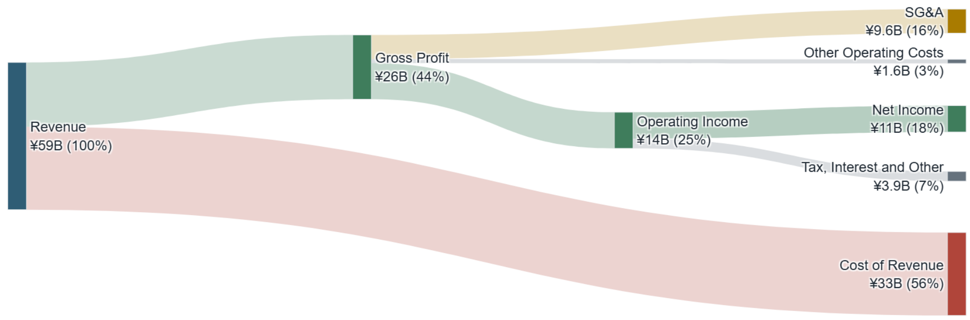

Figure 2: Revenue to Net Income, Latest Year

Figure 3: Composition of Total Assets

Valuation and Implied Expectations

The shares trade close to their own long-run multiple.

Current P/FCF (trailing)	**26.18**
Percentile of Own History	**59**
Median, Own History	**24.56**
5th Percentile	**18.53**
95th Percentile	**48.78**
Free Cash Flow Implied by That Multiple	**¥9,430M**
Free Cash Flow, Latest Reported Year	**¥10,295M**
P/FCF on Reported Cash Flow	**23.98**
Implied Change in Free Cash Flow	**+7%**
Price Move if the Multiple Reverts	**-6%**
Growth Delivered, 3-Year Annual (Per Share)	**+19.7%**
Years of That Growth in the Price	**0.4**

At 26.2x against a 3-year median of 24.6x, the shares trade close to their own long-run valuation. The price assumes FCF roughly holds.

Figure 4: Price to Free Cash Flow, 3-Year History

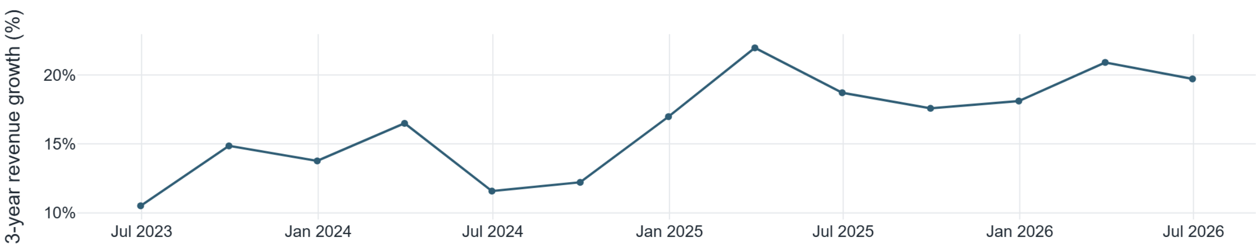

Figure 5: Three-Year Revenue Growth, on the same period as the multiple above

Relative Valuation

At 19.5 times forward earnings against a peer median of 24.2, the shares are 20% cheaper than the group.

Price / earnings, forward (consensus)	**19.5x (-20% vs peers)**
Price / earnings, latest reported year	**23.4x**
EV / EBITDA, forward (consensus)	**17.4x (+67% vs peers)**

Median 24.2 times across 3 comparators. On a group this small the median moves materially on any one of them.

Forward Price / Earnings

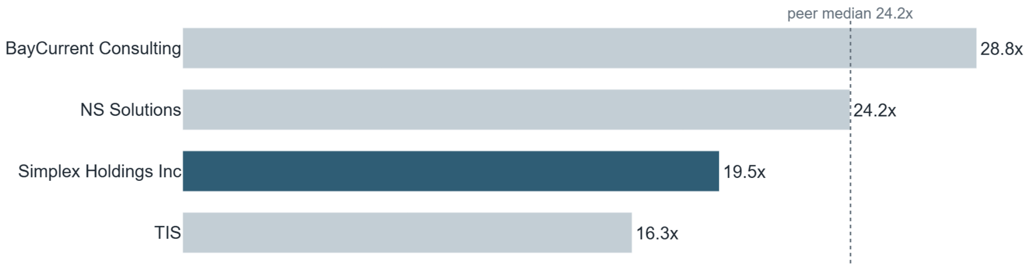

Figure 6: Forward earnings multiple against the comparators, median marked.

Range of Outcomes

On its own history the range over 3 years runs from +18% to +170%, with a base case of +50%. Every case gains, so the range shows no downside to weigh.

Percentiles of the company's own 3-year growth and valuation record. Not a forecast.

Downside: +14% growth on 21x	**+18% (+6% p.a.)**
Base: +17% growth on 25x	**+50% (+15% p.a.)**
Upside: +19% growth on 42x	**+170% (+39% p.a.)**

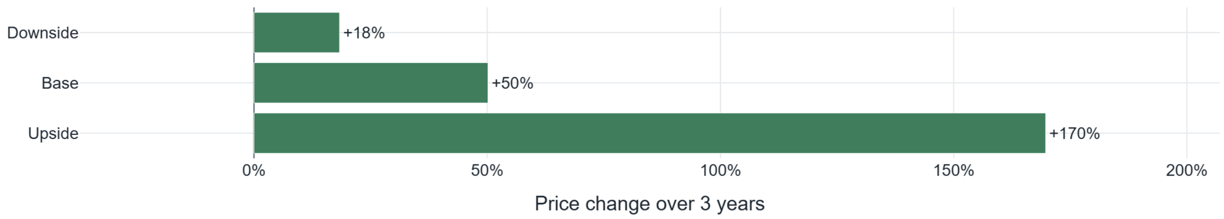

Figure 7: Price Change over 3 Years, by Scenario

Price and Drawdown

The shares sit 4% below their all-time high.

Current Drawdown	**-3.5%**
5th Percentile Drawdown	**-45.7%**
1st Percentile Drawdown	**-50.6%**
Max Drawdown vs 6M High	**-18.8%**

A 4% drawdown is shallower than usual for this share: the median over the past decade is 22%, and today's reading sits at the 92nd percentile of that history. The shares last touched a high 42 days ago.

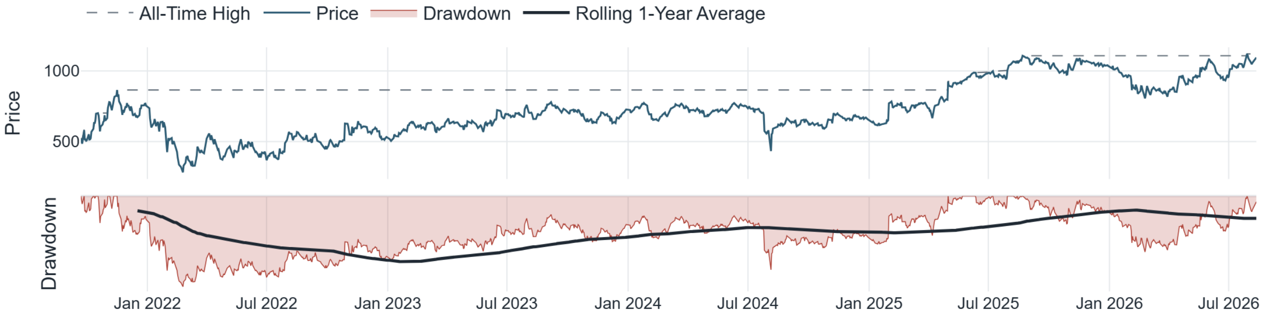

Figure 8: Price, All-Time High and Drawdown (log scale)

Competitive Position

The strongest power is switching costs. Overall a medium moat.

Overall moat assessment: medium. Scored from the filings.

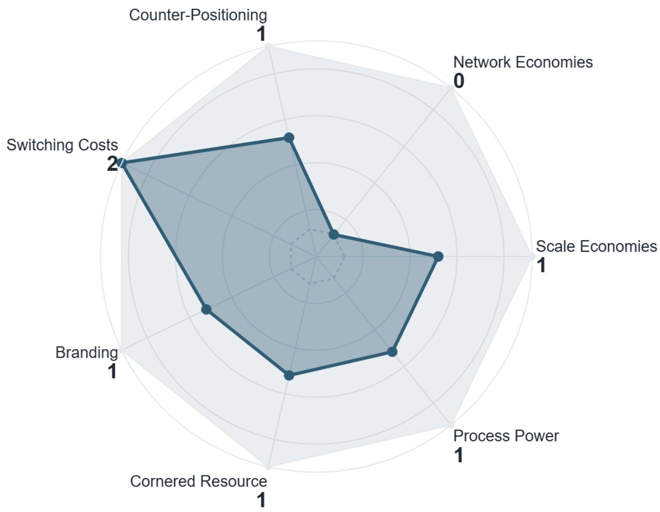

Figure 9: Competitive Advantage, Scored Zero to Three. Outer edge 2, inner ring zero

- **Scale Economies** (1 of 3): The Simplex Library (28 years of reusable code) and in-house Competency training lower marginal delivery cost, but the group is mid-scale against the largest systems integrators.
- **Network Economies** (0 of 3): No multi-sided network effect.
- **Counter-Positioning** (1 of 3): Onshore, direct-prime-vendor, no-subcontracting model is structurally opposed to the incumbent systems integrators' multi-tier offshore labour pyramid.
- **Switching Costs** (2 of 3): Mission-critical, regulated, 24/7 trading and risk platforms for Japan's largest banks and securities firms; prime vendor retaining the source-code IP, ~60% repeat and recurring revenue, de-facto standard in bond front-office and retail FX.
- **Branding** (1 of 3): Top-tier brand among major financial institutions - 43.7% gross margin against a ~26% software-industry average is the willingness-to-pay evidence.
- **Cornered Resource** (1 of 3): Hybrid Biz x Tech talent plus the proprietary Library IP; people are ultimately mobile.
- **Process Power** (1 of 3): 'Simplex Way' real-time P&L across 1,000+ concurrent projects; reproducible rising margins, not proven uncopyable.

Consensus and Expected Return

7 of 7 analysts rate the shares a buy, on a target implying +31%.

Consensus as at 31 Aug 2026.

Buys	7 (100%)
Holds	0 (0%)
Sells	0 (0%)
12M Target Price	1,450.00
Return Potential	+31.5%

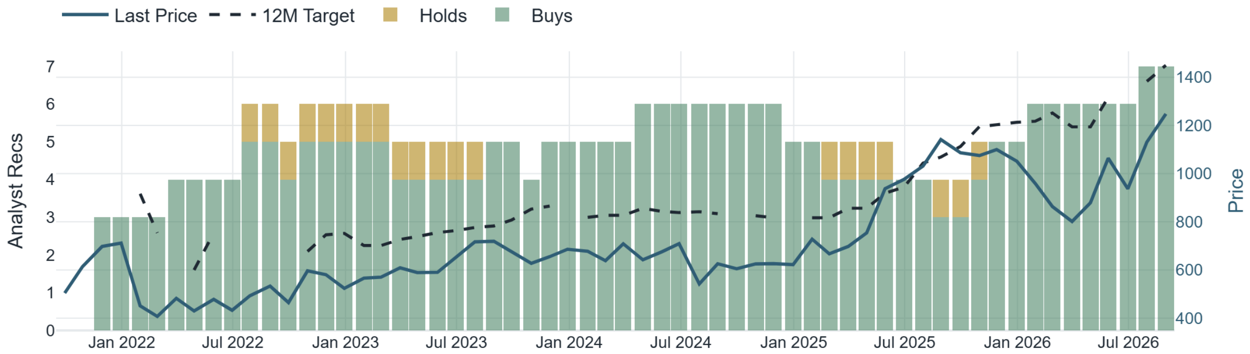

Figure 10: Consensus Recommendations and Twelve-Month Target

Qualitative Assessment

Japan high-end financial-IT / DX consulting. TSE Prime. IFRS. FYE 31 March. file for 4373.

Business

Simplex Holdings is the listed parent of a Japanese "Biz x Tech" professional group: the technology firm Simplex Inc. (founded 1997) and the strategy/DX consulting firm Xspear Consulting (established 2021), plus Deep Percept (AI) and small overseas units. The group designs, builds and operates mission-critical information systems for financial institutions and, increasingly, non-financial enterprises.

The differentiating operating model ("Simplex Way") is a deliberate rejection of the Japanese IT industry's multi-tier subcontracting pyramid: Simplex contracts directly with clients as the prime vendor, performs the full cycle in-house from concept through development to 24/7 operation with no offshore or subcontracted development, and retains the source-code intellectual property, which it accumulates and reuses through the proprietary "Simplex Library" (28 years of accumulated reusable code) and a dedicated in-house training organisation ("Simplex Competency"). This onshore, IP-retaining, hybrid-talent model is the source of an industry-leading gross margin.

Revenue is reported as a single segment, split by service type: System Integration 57.5% (FY26 revenue ¥33.76bn), Operation Services 24.0% (¥14.09bn), and Strategy/DX Consulting 18.4% (¥10.82bn); by business area the group spans Capital Markets (trading/risk platforms for megabanks, comprehensive securities firms and exchanges - the founding core), Financial Retail (retail brokerage and FX platforms, including a joint venture with SBI Securities), Enterprise DX (non-financial industries) and Strategy/DX Consulting. Management states approximately 60% of revenue is stable repeat-order and recurring business. The client base is roughly 120 companies, of which 12 each generate over ¥1bn of annual revenue; the group holds a top-tier brand position among Japan's leading banks and securities firms and appears 13 times in the IDC FinTech Rankings.

Financial Record

Yen m	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	27,532	30,579	34,946	40,708	47,394	58,682
Operating profit	4,510	6,362	7,451	8,850	10,804	14,420
Operating margin	16.4%	20.8%	21.3%	21.7%	22.8%	24.6%
Gross margin	39.1%	42.6%	41.8%	42.9%	41.4%	43.7%
Net profit (owners)	2,984	4,204	5,432	6,194	7,781	10,538
ROE	9.8%	12.2%	13.7%	13.9%	16.2%	21.0%

FY26 (year to March 2026): revenue ¥58.68bn (+23.8%), operating profit ¥14.42bn (+33.5%), net profit ¥10.54bn (+35.4%), all record highs; ROE reached the group's long-standing 20% target for the first time (21.0%). FY27 company guidance: revenue ¥70.0bn (+19.3%), operating profit ¥17.2bn (+19.3%), net profit ¥12.42bn (+17.9%). Consensus across the same seven analysts, refreshed 2026-09-09, is EPS of ¥56.67 for FY27 and ¥66.43 for FY28.

Revenue has compounded at approximately 16% per annum over five years with uninterrupted margin and ROE expansion. The medium-term plan ("2030 medium-term plan / Vision1000") targets revenue of ¥100bn and a 30% operating margin by the early 2030s, with the FY27 milestone (¥60bn revenue / ¥15bn operating profit) effectively achieved a year early.

Balance Sheet And Cash Flow

Asset-light and cash-generative. FY26 operating cash flow was ¥10.69bn against capital expenditure of roughly ¥0.4bn, giving free cash flow of approximately ¥10.3bn (over 95% conversion of net income). Cash and equivalents were ¥14.44bn against interest-bearing borrowings of ¥13.32bn, leaving the group roughly net-cash before lease liabilities of ¥9.14bn (which relate principally to two premium Tokyo offices). The equity ratio was 58.4%. Goodwill of ¥36.48bn, an artefact of the 2016 holding-company reorganisation following the 2013 management buy-out, represents about 41% of total assets, so tangible equity is modest (approximately ¥15bn); returns on tangible operating capital are correspondingly very high.

History And Ownership

Simplex was founded in 1997, listed on JASDAQ in 2002 and the Tokyo Stock Exchange in 2005-2006, then stalled: after FY2010 earnings entered a sustained decline, prompting a Carlyle Group-backed management buy-out and delisting in

- The group restructured over eight years as a private company - repositioning from a single-product financial-frontier vendor into a full-cycle DX and consulting group - and relisted on the TSE in September 2021. The clean compounding record above is therefore the group's "second act"; the current public track record is under five years.

Ownership is founder-led and closely aligned: President and CEO Hideki Kaneko holds a beneficial 17.5%, founding member Mitsuru Igarashi a beneficial 9.2%, and holds 5.8% as a strategic partner. Capital allocation is disciplined: approximately 40% dividend payout, opportunistic buybacks (roughly ¥5-6bn in each of FY25 and FY26), R&D at 3-4% of revenue, and a net-cash balance sheet. The board is 56-60% independent. The CEO's letter is candidly self-critical about a cancelled large insurance project in the first half of FY25, which the group resolved by mutual termination before recovering to record full-year results.

First Quarter FY3/2027

This quarter post-dates the original digest by one day and changes how the margin line reads.

Yen m	Q1 FY26	Q1 FY27	Change
Revenue	13,464	16,135	+19.8%
Operating profit	3,213	3,427	+6.6%
Operating margin	23.9%	21.2%	-2.7pp
Profit (owners)	2,159	2,249	+4.2%
Basic EPS (yen)	9.50	10.05	+5.8%

The operating-margin fall is a spending decision, not a deterioration. Gross margin ROSE to 46.3%, ahead of both the prior year and the group's own 45.0% full-year target, on AI-driven productivity and the absence of any loss-making project. Management states no unprofitable projects have arisen this year and that safety cushions have been essentially unused for roughly eighteen months. The compression sits below the gross line: research and development expenses rose to about ¥1.0bn, of which roughly ¥0.3bn was AI usage fees, some ¥100m above plan. The group has chosen to book AI usage fees as R&D rather than cost of sales for the two-year investment phase of its new medium-term plan, on the stated reasoning that adoption should not be throttled to protect a short-term margin. Management expects the net effect of AI cost against AI productivity to be broadly neutral this year and possibly positive in the second, while declining to forecast the crossover point.

Q1 is also the seasonally weakest quarter: the April intake of new graduates, 233 this year, is trained during it and those personnel costs land in SG&A.

Orders and backlog are the strongest lines in the release. Orders received reached ¥17.6bn, up 31.2% and a record for any quarter, ahead of the ¥16.1bn of revenue recognised, so backlog built rather than drained. Order backlog closed at ¥26.4bn, up 22.8% and also a record, following a record at the FY3/2026 year end.

By service category, Strategy/DX Consulting revenue rose 30.9% to ¥2.9bn on an improved consultant mix after senior-level hiring. Within the financial core, Capital Markets grew 7.2% to ¥4.5bn and Financial Retail 6.8% to ¥5.4bn, so the faster growth is coming from the newer adjacencies rather than the founding business. Concentration is disclosed in the consulting arm: the top ten clients are roughly 70% of its revenue.

Headcount and turnover. Consolidated employees rose from 1,850 at the FY3/2026 year end to 2,121, average age 31.3. Mid-career hiring is tracking near the upper end of the 250 to 300 target. Staff turnover, measured on a trailing four-quarter basis, has risen to 10% against a 9% full-year target, and management states it has not yet identified a clear pattern in the reasons for leaving. For a group whose moat rests on hybrid Biz-and-Tech talent this is the figure to watch, and FY3/2026 disclosures.

Guidance is unchanged: revenue ¥70.0bn (+19.3%), operating profit ¥17.2bn (+19.3%) and EPS of ¥55.08 for the year to March 2027, the first year of the 2030 medium-term plan. Consensus across the seven covering analysts sits a little above the company at ¥56.67 for FY3/2027 and ¥66.43 for FY3/2028.

Holding full-year operating profit at ¥17.2bn requires the remaining three quarters to run a materially higher margin than Q1 did. Part of that is the ordinary seasonality above, but not all of it: in FY3/2026 the first quarter ran 0.7 points below the full year, whereas this Q1 sits 3.4 points below the guided figure. The gap is the AI spend, and the guidance therefore embeds management's stated expectation that usage fees level off from here.

Where the AI programme sits against the peer group

Simplex is one of several Japanese IT services groups to have announced an AI-assisted delivery programme, and the field separates cleanly into those that have measured a gain and those that have so far described a plan.

Company	Disclosed	Measured gain
Nomura Research Institute	AI across the development lifecycle, deployed to its financial business platform	Yes: up to 85% in testing, up to 40% in AI-driven program generation, and a stated ¥15-20bn profit contribution targeted by FY3/2029
NTT Data	Generative AI in document checking, at full scale since December 2024	Yes, but narrow: about 60% less working time on one process
Fujitsu	AI-driven delivery, moving from person-month to value-based pricing	Forward target only: 2 percentage points of services gross margin in FY3/2027
NS Solutions	"NS Devia" delivery platform, live since July 2025	None: gross margin in existing fields did not improve year on year in Q1 FY3/2027
BayCurrent	AI steps set out in the medium-term plan	None disclosed
NEC	"AI native company" ambition across services	None disclosed
TIS	Nothing specific disclosed	Not applicable

Two readings follow, and they pull in opposite directions.

Against Simplex: Nomura Research Institute is further along on the same ground and in the same client segment. It competes for Japanese financial-institution work, it has published measured productivity gains rather than a framework, and it has attached a profit number to them. Simplex has the framework and, so far, no measured gain. Scale and incumbency in financial IT sit with Nomura.

For Simplex: NS Solutions is the cautionary case that makes the point about how hard this is. Its platform has been live for over a year and its gross margin in existing business has not moved. Simplex's Q1 gross margin did move, to 46.3% and above its own target, and a broker note on the quarter reads the higher AI usage fees as already offset by productivity, with operating profit in line. Nobody outside Nomura has yet harvested this, so being at the front of the second group is not the same as being late.

For global calibration, disclosed delivery gains elsewhere run well ahead of anything reported in Japan, with several large international integrators citing figures in the 40% range on specific processes. The Japanese field is early.

Staff Turnover In Context

The rise from 9% to 10% reads differently against the labour market it sits in.

Japan's labour shortage is the most acute in roughly 35 years, unemployment is near 2.5%, the new job-offer-to-applicant ratio is above 1.8, and average corporate wage increases for 2026 are running near 4.9%. Personnel is about two-thirds of cost in IT services, so wage inflation is a direct margin lever across the whole sector, and Nomura Research Institute has guided domestic labour costs up about 9% in a single year.

Against that, 10% is a low turnover rate rather than a high one. A listed Japanese IT staffing group reports 16.6% after two separate 5% wage revisions within four months. The rise is consistent with a market-wide trend and is not, on this evidence, a Simplex-specific signal.

What remains company-specific is the combination: headcount rose from 1,850 to 2,121 in a quarter, including 233 new graduates, at the same moment the delivery model is being rebuilt around AI. Early-tenure attrition rises during process change, and management's inability to identify a pattern in the reasons for leaving means the cause is diffuse rather than isolated to a cohort. That is worth watching. It is not, by itself, evidence of a problem.

Moat - Helmer 7 Powers

As at 26 July 2026.

Power	Score	Evidence (filing)
Counter-Positioning	1	Onshore, direct-prime-vendor, IP-retaining, no-subcontracting model is structurally opposed to incumbent systems integrators' multi-tier / offshore labour-pyramid economics; protects vs incumbents, not vs a well-capitalised new entrant or global consultancies moving downstream
Scale Economies	1	Simplex Library (28yr reusable code IP) + Competency training lower marginal delivery cost and lift margin, but the group is mid-scale vs the largest Japanese systems integrators - domain-depth scale, not dominant cost-curve scale
Switching Costs	2	Mission-critical, regulated, 24/7 trading/risk and retail platforms for Japan's largest banks, securities firms and exchanges; de-facto standard in bond front-office and retail FX; prime-vendor with source-code IP; ~60% repeat/recurring revenue. Deep in the financial core, thinner in project-based non-financial work
Network Economies	0	No multi-sided network effect

Power	Score	Evidence (filing)
Branding	1	"Top brand" reputation among major financial institutions; a real willingness-to-pay premium (43.7% gross margin vs ~26% software-industry average) but a B2B trust asset overlapping with switching costs
Cornered Resource	1	Hybrid Biz x Tech talent (top-10% hiring, in-house training, top-tier pay, 8% turnover) plus proprietary Library IP; strong but people are ultimately mobile/replicable - a capability more than a truly cornered resource
Process Power	1	"Simplex Way" plus real-time P&L management across 1,000+ concurrent projects has produced reproducible, rising margins for years; hard to retrofit onto an incumbent, but not proven uncopyable

Powers present (>=1): 6. Strength-2: Switching Costs (in the financial core). Protects against: incumbents (counter-positioning) and, in the financial core, new entrants (switching costs). Durability: widening (gross margin, operating margin, ROE and ROCE all rising; recurring share ~60%). Tell to monitor: gross profit margin - management's own primary KPI. Sustained 43-45% confirms pricing power and moat intact; drift toward the ~26% industry average would signal commoditisation. Secondary tell: Xspear consulting gross margin (48% now) as mid-career hiring scales.

Grade: upper-medium. Wide and durable in the financial-frontier core; medium blended because the growth vector (Enterprise DX and consulting) sits in less-defended adjacencies contested by global strategy firms and larger systems integrators, and because the public track record is short. Not a monopoly, so not "high".

What to Watch

- Free cash flow per share, running at about ¥42.13. On the long-run multiple, ¥44.91 supports today's price. The next cash flow statement is the most direct test.
- Delivered growth. The price pays for about 0.4 years at the rate achieved so far, so a slower reported period lengthens the payback.

Conclusion

Buy, target ¥1,400, +27% from ¥1,103.

The filings support a medium moat, and a record that reads as quality rather than cycle. The shares trade close to their own long-run multiple.

The call needs three things to hold, and the next reported period settles each of them:

- Full-year operating profit of ¥17.2bn held, which needs AI usage fees to level off as management says rather than keep outrunning plan
- Gross margin holding near the 46.3% of the June quarter, not reverting toward FY3/2026's 43.7%
- Simplex converting its AI delivery framework into a measured productivity gain, where Nomura Research Institute has already published one and competes for the same financial-institution work